

doesn't, such expenses will take all the surplus money for a whole month when they come due.

An example of a hidden debt is insurance that is paid on a yearly basis. The needed amount should be divided by 12 and put aside every month.

Since dental and medical bills don't come due every month, estimate how much you spend on a yearly basis, divide that amount by 12, and put aside that money every month also.

The same thing is true for clothing, automobile repairs, vacations, and so on. Failure to do this will ultimately wreck your budget. Other debts that are commonly overlooked are magazine subscriptions, credit owed to family or friends, taxes, and investments.

● IMPULSE ITEMS

Impulse items are the things you always wanted but never needed. As mentioned before, credit cards are the primary means of buying on impulse. Therefore, if you stop the credit, you probably stop the impulse.

Impulse purchases can be very small or very large. They range from buying homes and cars to buying lunch. The price of the object is not the important issue; its necessity is. You must consider every purchase in light of your budget.

Here are some hints on how to reduce your impulse buying:

(1) Use a delayed purchase plan. (Buy nothing outside of your budget unless you wait 30 days.)

(2) Check and record at least three other prices within those 30 days.

(3) Allow only one new purchase at a time on your impulse-buying record.

(4) Never use credit cards for impulse purchasing.

I never bought large things on impulse, but the small things were still impulse purchases. Tools were my weakness. I would go into a department store and see all kinds of tools that I never needed but always wanted. Since my budget couldn't stand the strain, I decided to break the habit.

I began by posting an impulse buying chart on my bedroom